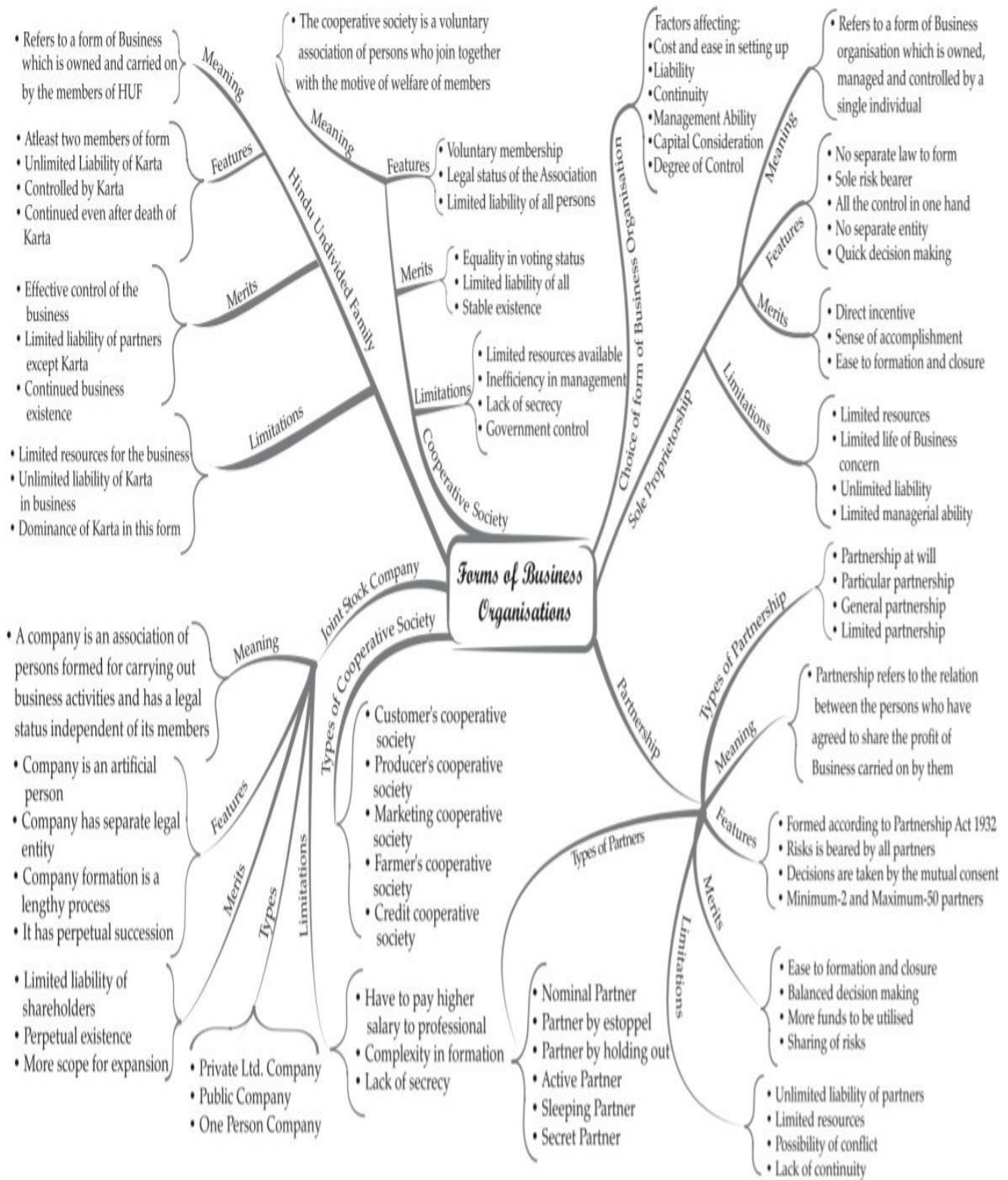


CH-02: FORMS OF BUSINESS ORGANISATION

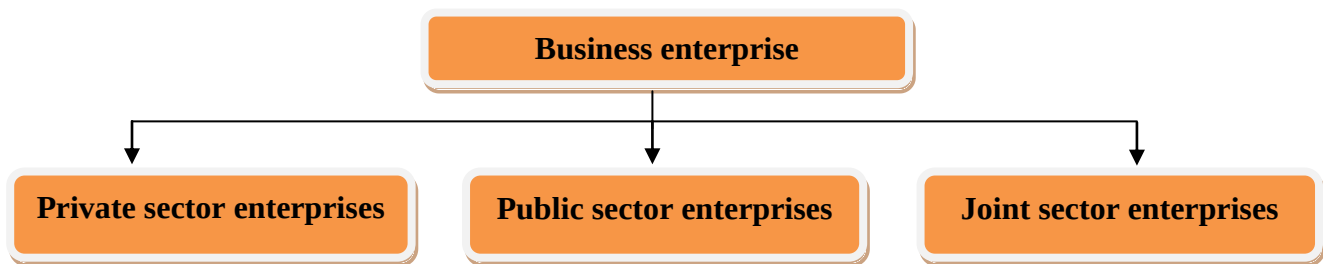
(MIND MAP)



LEARNING OBJECTIVES:

- Identify different forms of business organization.
- Meaning, features, merits and limitations of different forms of business organization i.e. Sole Proprietorship, Partnership, Co-operative Organisation & Joint Stock Company.
- Meaning & features of Hindu Undivided Family Business.
- Types of partners & partnership.
- Types of co-operative organisation.
- Concept of partnership deed & registration of partnership.
- Types & formation of company.
- Distinguish between various forms of organization.
- Discuss the factors determining choice of an appropriate form of business organisation.

A business enterprise is an organization which is engaged in some businesses or commercial activities. Business enterprise may be classified into three broad categories:



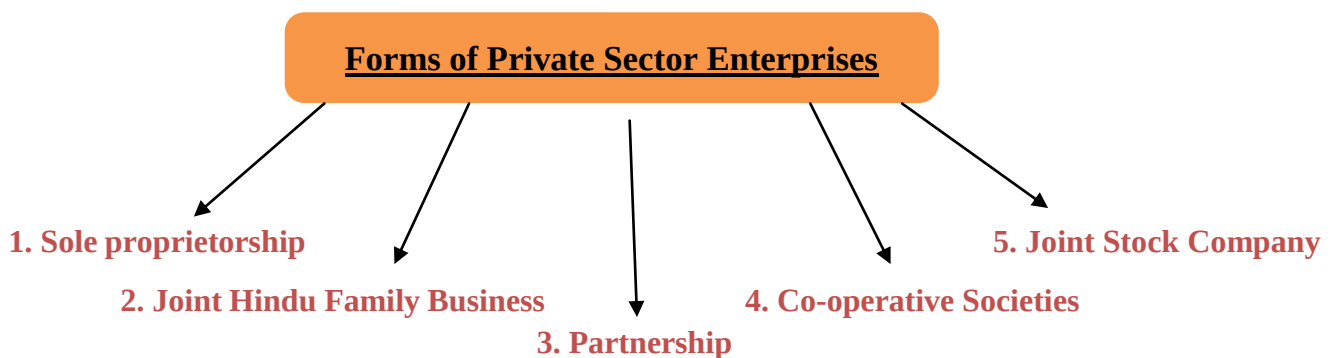
1. Private sector enterprises: The business enterprises which are owned, controlled and managed by private individuals are known as Private sector enterprise. Like- Reliance India Limited, Tata Company, Wipro etc.

2. Public sector enterprises: The business enterprises which are owned, controlled and managed by the central and state government are known as Public sector enterprise. Like - SAIL (Steel Authority of India Limited), Gail (Gas Authority of India Limited), LIC etc.

3. Joint sector enterprises: The business enterprise which is owned, controlled and managed jointly by private entrepreneur and government are known as Joint sector enterprise. Like- Maruti Udyog Ltd., Cochin Refineries, etc.

Forms of Private Sector Enterprises:

The private sector enterprise can function and run by adopting any of the following forms:



➤ **1. SOLE PROPRIETORSHIP:-**

It is a form of organisation which is owned, managed and controlled by an individual who bears all the risk and receives all the profit.

Features:

- (a) Formation and closure:** It can be established and closed without any legal formalities.
- (b) Liability:** The liability of the sole proprietor is unlimited in this form of business organisation.
- (c) Sole risk bearer & profit recipient:** Being a sole owner, he bears all the risk & receives all the profits.
- (d) Control:** All the decisions are taken and implemented in the organization by the owner.
- (e) No separate entity:** Both owner and business are considered as one in the eyes of law.
- (f) Lack of business continuity:** Business can be continued till the owner wishes to.

Merits:-

- (a) Quick decision making:** Prompt decision making as all the decisions are to be taken by the owner.
- (b) Confidentiality of information:** Being a sole owner, it is easy to maintain business secrecy.
- (c) Direct incentive:** All the profits are enjoyed by the owner as there is no one to share profits.
- (d) Sense of accomplishment:** Successful business provides satisfaction to the owner & sense of achievement.
- (e) Ease of formation & closure:** No legal formalities for formation & closure of business which makes it easy to start and end the business.

Limitations:-

- (a) Limited resources:** Business can be funded from savings of the owner or money borrowed from friends, relatives.
- (b) Limited life of a business concern:** Continuity of the business depends on the health and state of mind of the owner.
- (c) Unlimited liability:** In case business fails repayment of debts, his personal assets are at risk.
- (d) Limited managerial ability:** One person may not possess the ability to manage all the functions.

Suitability:

Sole proprietorship is suitable:-

- Where the personal attention to customer is required as in tailoring, beauty parlour.
- Where goods are unstandardized like artistic jewellery.
- Where modest capital and limited managerial skills are required as in case of retail store.

➤ **2. JOINT HINDU FAMILY BUSINESS:**

It is owned by the members of undivided joint Hindu family and managed by the eldest member of the family known as 'KARTA'. It is governed by the provisions of Hindu law. The basis of membership is birth in a particular family.

Features:

- (a) Formation:** Hindu Undivided Family is formed with at least two members of a family having ancestral property. It is governed by Hindu Succession Act, 1956.
- (b) Liability:** All the members of the family except Karta have limited liability up to their share in the business property.
- (c) Control:** All the activities in the business organization are controlled by Karta.
- (d) Continuity:** It can be discontinued if all the members of the family agree to do so.
- (e) Minor members:** Membership in the organization is by birth.

Merits:

- (a) Effective control:** Complete control of business with 'Karta' thus effective decision-making.
- (b) Continued business existence:** Business continues till all the members wish to continue and control is transferred to the next elder member in case of death of 'Karta'.
- (c) Limited liability of members:** Members of the family enjoy liability limited to their share in the business party.
- (d) Increased loyalty and cooperation:** Family members have a sense of belongingness and loyalty, hence, all work with a common objective of growth.

Limitation:

- (a) Limited resources:** Business can be funded mainly from ancestral property, hence limiting the financial resources.
- (b) Unlimited liability of Karta:** The personal property of 'Karta' is at risk as he has unlimited liability.
- (c) Dominance of Karta:** Difference of opinion among members and 'Karta' may cause conflict amongst them.
- (d) Limited managerial skills:** Karta may not have knowledge and expertise of all the functions performed in the business.

➤ 3. PARTNERSHIP:

According to partnership Act 1932, partnership is the relation between persons who have agreed to share the profits of the business carried on by all or any one of them acting for all.

Features:

- (a) Formation:** Business is established as per the provisions of Partnership Act 1932.
- (b) Liability:** All the partners in the business have unlimited liability.
- (c) Risk bearing:** All the risk in the business is shared by all the partners.
- (d) Decision making and control:** All the decisions are taken in after the consent of all the partners and each partner shares responsibility of running business.
- (e) Continuity:** Continuity depends upon the partnership deed among the partners at the time of its formation.
- (f) Number of partners:** Minimum 2 and maximum 50 members {as per the Companies (miscellaneous) Rules 2014}, or maximum could be 100 (according to Companies Act, 2013).
- (g) Mutual agency:** Each partner is the owner as well as the agent of the firm & agent to other partners.

Merits:

- (a) Ease of formation and closure:** Business can be established and closed with the consent of all the partners as the registration is optional.
- (b) Balanced decision making:** All the decisions are taken by consent partners as partners undertake responsibilities as per their expertise.
- (c) More funds:** Funds are provided by all the partners, which increases the scope for large-scale business operation.
- (d) Sharing of risks:** Business risk and responsibilities are shared among all the partners.
- (e) Secrecy:** It is easy to maintain business secrecy as there is no need to submit financial results.

Limitations:

- (a) Unlimited liability:** Each partner's liability is extended to their personal property.
- (b) Limited resources:** Availability of Finance is limited due to the restriction of number of partners.
- (c) Possibility of conflicts:** All the partners may have different opinions which create conflict among them.
- (d) Lack of continuity:** Any conflict between partners or death of a partner may bring business to an end.
- (e) Lack of public confidence:** It is difficult for an outsider to ascertain true financial position as there is a lack of availability of financial reports.

Types of Partners:-

- (a) Active partner:** A partner who contributes capital, shares profits and losses, participates in management and has unlimited liability.
- (b) Sleeping or dormant partner:** Partner who contributes capital, shares profits and losses and has unlimited liability but does not participate in management.
- (c) Secret partner:** This partner participates in management operations secretly, but does contribute in profits and losses.
- (d) Nominal partner:** Partner who does not contribute capital and does not share profit and losses but allows partnership business to project him or her as partner.
- (e) Partner by estoppel:** An individual who is not a partner but projects himself/ herself as a partner to an outsider and has unlimited liability.
- (f) Partner by holding out:** An individual who is not a partner but is projected as a partner by other partners of the partnership firm and his liability is unlimited.

Types of Partners

Partner	Contribution Of Capital	Management	Profit/Loss Sharing	Liability
1. Active	Yes	Yes	Yes	Unlimited
2. Sleeping	Yes	No	Yes	Unlimited
3. Secret	Yes	Yes, but secretly	Yes	Unlimited
4. Nominal	No	No	Generally Yes	Unlimited
5. Partner by Estoppel	No	No	No	Unlimited
6. Partner by Holding out	No	No	No	Unlimited

Minor as partner:

An individual of age below 18 years can be admitted with mutual consent of all other partners but legally he is not a partner.

Types of partnership:

Partnership can be categorized on the basis of duration and liability:

Classification on the basis of duration:

(i) **Partnership at will:** Partnership continues till the partners agree to do so.

(ii) **Particular partnership:** The partnership formed for a specific task for project or for a specific period of time. It comes to an end after completion of task or expiry of time.

Classification on the basis of liability:

(i) **General partnership:** Partnership where all partners have joint and unlimited liability.

(ii) **Limited partnership:** Partnership where all partners have limited liability & at least one partner must have unlimited liability.

Partnership deed:

A written document where all the terms & conditions of partnership are mentioned. It generally has following clauses:

- (a) Name of firm.
- (b) Nature of firm.
- (c) Duration of Partnership.
- (d) Duties and obligations of Partners.
- (e) Valuation of Assets.
- (f) Interest on capital and interest on drawings.
- (g) Profit-loss sharing ratio.
- (h) Salaries and withdrawals of the Partners.
- (i) Preparation of accounts and their auditing.
- (j) Procedure for dissolution of firm.
- (k) Method of solving disputes.

Registration:

It is optional for a partnership firm to get registered with the registrar of firms of the state in which firm is situated. In case a firm does not get registered, it is deprived of many benefits.

The consequences of non-registration of a firm are as follows:

- (a) A partner of an unregistered firm cannot file a suit against the firm or other partners,
- (b) The firm cannot file a suit against third parties, and
- (c) The firm cannot file a case against the partners.

Procedure for getting firm registered:

- (i) Submission of application in prescribed form with the Registrar of Firms.
- (ii) Fee deposition with the Registrar.
- (iii) Receiving certificate of registration after the Registrar is satisfied.

➤ **4. CO-OPERATIVE SOCIETY:**

An organisation of voluntary people working for a common purpose with an aim to protect economic and social interests of the members. It must be registered under the Co-operative Societies Act, 1912.

Features:

- (a) Voluntary membership:** Any individual irrespective of caste, gender, religion with common interest is free to join or leave a co-operative society as and when he/she desires.
- (b) Legal status:** Co-operative society has separate identity status distinct from its members, and the registration of such society is also mandatory.
- (c) Limited liability:** Members have liability limited to their capital contribution.
- (d) Control:** All the decision making power is in the hands of an elected managing committee which are chosen by members with one man one vote concept.
- (e) Service motive:** Society is formed with the motive of providing mutual help to team members.

Merits:-

- (a) Equality in voting status:** Each member has equal right to vote and elect members of the managing committee.
- (b) Limited liability:** The liability of members is limited to their capital contribution.
- (c) Stable existence:** Cooperative societies keep on going irrespective of situations of death, bankruptcy or insanity of its members.
- (d) Economy in operations:** The members of the society work voluntarily which helps in reducing costs.
- (e) Support from government:** Government provides support to societies in the form of lower taxes, interest rates and subsidies.
- (f) Ease of formation:** No legal formalities are involved in formation of societies.

Limitations:-

- (a) Limited resources:** Capital contribution by the member is the only source of finance, and low dividend also discourages members for the provision of finance to the society.
- (b) Inefficiency in management:** Members working on voluntary basis may lack necessary expertise and skills, leading to inefficiency in operations and management.
- (c) Lack of secrecy:** Difficult to maintain secrecy as members disclose all information related to work of the society in the meeting.
- (d) Government control:** Societies need to follow rules and regulations as stated by the government and submit audited financial reports of the society. However, such government intervention affects the freedom of work for such societies.

(e) Differences of opinion: Difference of opinion as a result of individual interest over the welfare may lead to conflicts amongst members.

Types of Cooperative societies:-

(i) Consumer's cooperative societies: Societies formed for providing good quality services and products at a reasonable rate, to protect the interest of consumers.

(ii) Producer's cooperative societies: Societies formed for providing good quality and low priced raw materials and other inputs, to protect the interest of producers.

(iii) Marketing cooperative societies: Societies for providing services related to marketing of products by small producers.

(iv) Farmer's cooperative societies: Societies formed for providing farmers with better inputs at reasonable rates to improve productivity.

(v) Credit cooperative societies: Societies established to provide financial assistance to its members at very reasonable terms.

(vi) Cooperative housing societies: Societies formed for constructing houses for its members at reasonable cost.

➤ **5. JOINT STOCK COMPANY:-**

The Companies Act, 2013 defines, "A company as an artificial person having a separate legal entity, perpetual succession and a common seal."

Features of Company/ Joint Stock Company:-

(a) Artificial person: A company is created by law and has legal status but it does not function like human beings. All business activities are done by the board of directors in the name of the company.

(b) Separate legal entity: A company has its own identity distinct from its owner with the incorporation of a company.

(c) Formation: Company is formed by fulfilling all the legal formalities as stated under Companies Act, 2013.

(d) Perpetual succession: A company is created by law and only law can bring an end to its existence. Existence of the company is not affected by the status of members.

(e) Control: Business affairs of a company are managed and controlled by the Board of Directors.

(f) Liability: A company has limited liability i.e., liability only to the extent of the capital contribution.

(g) Common seal: As a company is an artificial legal person, it cannot have a sign on its own. Hence common seal acts as the official signature for a company. All the official documents must have a common seal for legal binding.

(h) Risk bearing: The risk of loss is shared by all the shareholders in proportion to their investment in the company.

Merits:-

(a) Limited liability: Shareholders liability is limited to the investment in the company, thus there is no risk of losing personal assets.

(b) Transfer of interest: Shares can easily be sold in the market or can be converted into cash.

(c) Perpetual existence: Company's existence is not affected by the status of shareholders, company continues to exist.

(d) Scope for expansion: Companies can raise large amounts of funds from the public as well as borrowings from financial institutions or banks.

(e) Professional management: large-scale operation requires management by professionals and specialised individuals.

Limitations:-

(a) Complexity information: Formation of a company requires fulfilling of documentation and legal formalities which makes the procedure lengthy and complex.

(b) Lack of secrecy: All financial information is disclosed to the general public that there is no confidentiality or secrecy.

(c) Impersonal work environment: Business affairs are managed by professionals not owners, thus, it lacks personal contact with employees and customers.

(d) Numerous regulations: A company involves various rules and regulations which reduces freedom to work and involves a lot of money, time and effort.

(e) Delay in decision making: Decision making needs to follow a set of hierarchy which may cause delay in taking decisions and actions.

(f) Oligarchic management: Shareholders have very little control over the running of business, thus, the directors take all the decisions which may at times get influenced by their personal interest.

(g) Conflict in interests: It is difficult for management to satisfy everyone as there are too many stakeholders with diverse interests.

On the basis of the number of shareholders, enterprises can be classified into 3 kinds of companies:

1. Public Company:

A public company means a company which is not a private company. As per The Companies Act, a public company is one which:

- (a) has a minimum of 7 members and no limit on maximum members;
- (b) has no restriction on transfer securities; and
- (c) is not prohibited from inviting the public to subscribe to its securities.

However, a private company which is a subsidiary of a public company is also treated as a public company.

2. Private Company: A private company means a company which:

- (a) restricts the right of members to transfer its shares;
- (b) has a minimum of 2 and a maximum of 200 members, excluding the present and past employees;
- (c) does not invite public to subscribe to its securities and

It is necessary for a private company to use the word *private limited* after its name.

If a private company contravenes any of the aforesaid provisions, it ceases to be a private company and loses all the exemptions and privileges to which it is entitled.

The following are some of the privileges of a private limited company as against a public limited company:

- (i) A private company can be formed by only two members whereas seven people are needed to form a public company.
- (ii) There is no need to issue a prospectus as public is not invited to subscribe to the

shares of a private company.

- (iii) Allotment of shares can be done without receiving the minimum subscription. A private limited company can start business as soon as it receives the certificate of incorporation.
- (iv) A private company needs to have only two directors as against the minimum of three directors in the case of a public company. However the maximum number of directors for both types of companies is fifteen.
- (v) A private company is not required to keep an index of members while the same is necessary in the case of a public company.

Difference between Public Company and Private Company

Basis	Public company	Private company
1. Members	Minimum - 7 Maximum – unlimited.	Minimum - 2 Maximum - 200.
2. Minimum number of directors	Three.	Two.
3. Index of members	Compulsory.	Not compulsory.
4. Transfer of shares	No restriction.	Restriction on transfer.
5. Invitation to public to subscribe to shares	Can invite the public to subscribe to its shares or debentures.	Cannot invite the public to subscribe to its securities.

3. **One Person Company or OPC:** According to Sec.2 (62) of the Companies Act, 2013, ‘company which has only 1 person as a shareholder’. Rule number 3 of the Companies (Incorporation) Rules, 2014 says that:

- (i) Only a natural person who is an Indian citizen & an Indian resident can form 1 person company.
- (ii) It cannot execute non-banking financial investment pursuits.
- (iii) It is paid-up share capital which is not more than ₹ 50 Lakhs.
- (iv) Its aggregate annual turnover of 3 years does not cross ₹ 2 Crores.

➤ **Formation of Company:**

Formation of a Company is a time-consuming process that requires the completion of numerous legal formalities and processes.

There are three important steps in this process:

A. Promotion:

B. Incorporation:

C. Subscription of Capital:

Unlike a public limited company, which is forbidden from raising funds from the public, a private corporation is not required to produce a prospectus or complete the formalities of a minimum subscription.

A. Promotion of company:

It entails conceptualizing a business idea and taking the initiative to start a company so that the available business opportunity can be put into practice.

Promoter:

The term Promoter is defined in Section 2 (69) of the Companies Act 2013 as

- who has been named as such in a prospectus or is identified by the company in the annual return referred to in section 92; or
- who has control over the affairs of the company, directly or indirectly whether as a shareholder, director or otherwise; or
- in accordance with whose advice, directions or instructions the Board of Directors of the company is accustomed to act:

Provided that nothing in sub-clause (c) shall apply to a person who is acting merely in a professional capacity.

Functions of Promoter:

1. Identification of business opportunity:

The opportunity could be in the form of developing a new product or service, making a product available through a new channel, or any other investment opportunity. The technical and economic feasibility of the opportunity is next assessed.

2. Feasibility studies:

Converting all potential business ideas into actual projects may not be viable or lucrative. As a result, the promoters do extensive feasibility assessments.

The feasibility studies listed below may be carried out:

- **Technical feasibility:** An excellent idea may be technically impossible to implement. It could be due to a lack of readily available raw materials like material, labour, location, infrastructure or technology.
- **Financial viability:** Every company activity necessitates the use of capital. The promoters must calculate the amount of money needed to pursue the recognised business idea. If money cannot be secured, the project must be abandoned.
- **Economic feasibility:** The project might be technically and financially possible, but it may have a slim possibility of being profitable. Hence this step focuses on the cost-benefit analysis of the company to find out its future viability.

3. Name approval:

The promoters must choose a name for the company and file an application for approval to the registrar of companies in the state where the firm's registered office will be located. If the proposed name has been rejected, an alternate name may be accepted. In the application to the Registrar of Companies, three names are submitted in priority order.

4. Fixing up Signatories to the Memorandum of Association:

The members who will sign the proposed company's Memorandum of Association must be decided by the promoters. Those who sign the memorandum are also the company's first directors. Their signed consent to serve as Directors and to purchase the company's qualification shares is required.

5. Appointment of professionals:

The promoters select specialists such as mercantile bankers, auditors, and others to assist them in preparing the essential documents that must be filed with the Registrar of Companies.

6. Preparation of necessary documents:

The promoter takes measures to prepare necessary legal documents that must be submitted to the Registrar of Companies for the company to be registered under the law. The Memorandum of

Association, Articles of Association, and Consent of Directors are the documents required.

Documents required to be submitted:

There are six documents in total, they are:

1. Memorandum of Association:

It identifies the company's goals. The Memorandum of Association is duly stamped, signed, and witnessed. In the case of a public business, it must be signed by at least seven members. For a private business, however, two members' signatures are sufficient. No corporation can legally engage in activities that are not outlined in its memorandum of association.

The following clauses are included in the MoA:

- **Name Clause:** This section contains the name of the business that has already been approved by the Registrar of Companies.
- **Registered office clause:** It specifies the state in which the company's registered office is proposed to be located. Although an exact address is not required, it must be provided to the Registrar within thirty days of the company's formation.
- **Object's clause:** This specifies the reason for the company's formation. A firm is not legally permitted to engage in any action that is not related to the objectives set forth in this clause.
- **Liability clause:** This clause restricts the members' liability to the amount owed on the shares they own.
- **Capital clause:** This clause establishes the maximum amount of capital that the company may raise through the issuance of shares. The proposed company's permitted share capital, as well as its partition into the number of shares with a fixed face value, is defined.
- **Subscription Clause:** The subscription provision, which is the sixth and last clause of the MOA, shall declare the subscribers' intent to incorporate the company and agree to take shares in the firm based on the number stated in the Memorandum.

2. Articles of Association:

They are the rules that govern a company's internal management. These regulations are an addendum to the Memorandum of Association; they should not conflict with or supersede anything in the Memorandum of Association.

According to Section 2(5) of the Companies Act, 2013, "articles" refers to a company's articles of organization as initially drafted, as amended from time to time, or as implemented in accordance with any previous company law or this Act.

3. Consent of Proposed Directors:

In addition to the Memorandum and Articles of Association, everyone nominated as a director must sign a written permission stating that they accept to function in such capacity and agree to purchase and pay for qualification shares.

4. Agreement:

Another document that must be presented to the Registrar for the company to be registered under the Act, is the agreement that the firm forms with an individual as a Director or a full-time Director or Manager.

5. Statutory Declaration:

A declaration confirming that all legal conditions for registration have been met must be presented to the Registrar along with the above-mentioned documents for the company to be legally registered.

6. Receipt of Payment of Fee:

The necessary payments for the company's registration must be paid. The amount of such fees will be determined by the company's authorized share capital.

Position of Promoter:

A firm's promoters have a fiduciary relationship with the company, which they must not abuse. They can only make a profit if it is publicly revealed; they cannot make any hidden gains.

In the event of non-disclosure, the company has the right to cancel the contract & reclaim the money paid to the promoters. It can also sue for damages or losses incurred because of material information not being disclosed. Promoters do not have the legal right to claim expenses incurred in the company's promotion. The company, on the other hand may choose to reimburse them for their pre-incorporation costs.

The corporation may also pay the promoters a lump-sum payment or a commission on the purchase price of property obtained through them or on the shares sold as compensation for their efforts. The corporation may also provide them stock or debentures or give them the opportunity to buy the securities later.

B. Incorporation

The application must be filed with the Registrar of Companies in the state where the company's registered office will be located.

A registration application must be accompanied by specified papers. The areas follows:

- A duly stamped, signed, and witnessed Memorandum of Association. In the case of a public business, it must be signed by at least seven members. However, two members' signatures are sufficient for a private company.
- As with the Memorandum, the Articles of Association must be legally stamped and witnessed.
- The prospective directors' written approval to serve as directors, as well as an agreement to purchase qualification shares.
- The prospective Managing Director, Manager, or full-time director has reached an agreement if one exists.
- A copy of the letter from the Registrar authorizing the company's name.
- A legislative declaration attesting to the fact that all registration requirements have been met. This document must be properly signed.
- Along with these documents, a notification containing the exact address of the registered office may be submitted.

Effect of the Certificate of Incorporation:

The date inscribed on the Certificate of Incorporation marks the beginning of a company's legal existence. On that date, it becomes a legal entity with eternal succession. It gains the ability to enter legally binding contracts. The Certificate of Incorporation is indisputable documentation of a company's regular incorporation.

C. Capital Subscription:

SEBI clearance is required to raise funds from the public. The Registrar of Companies will receive a copy of the prospectus or a statement in lieu of the prospectus. Bankers, brokers, underwriters & other professionals are hired. A request for approval to trade in shares or debentures must be made to the stock exchange.

Process of Capital Subscription:

1. SEBI Approval:

SEBI (Securities and Exchange Board of India), our country's regulatory body, has developed recommendations for information disclosure and investor protection. A public firm seeking funding from the public must make full disclosure of all relevant facts to potential investors and must not withhold any material information.

2. Filing of Prospectus:

Section 2(70) of the Companies Act of 2013 defines a prospectus as. "Any document that is described or issued as a prospectus" is how a prospectus is defined. This includes any notification, circular, advertisement, or other document that serves as an invitation to public offers.

The Registrar of Companies receives a copy of the prospectus or a statement in lieu of the prospectus. A Statement-in-Lieu of Prospectus is submitted with the Registrar of Companies (ROC) when a company does not issue a prospectus to the public for the subscription of the shares.

All of the directors or their authorised agents must sign the declaration in writing. It's similar to a prospectus, with the exception that it's only a few pages long.

3. Appointment of Bankers, Brokers, Underwriters:

Raising money from the general people is a huge undertaking. The money for the application will be received by the company's bankers. The brokers try to sell the shares by handing out application forms and pushing others to apply. If the public does not subscribe to the shares, the underwriters promise to buy them.

4. Minimum Subscription:

To prevent enterprises from starting into business with insufficient resources, the company must obtain applications for a particular minimum number of shares before proceeding with the issuance of shares. This is referred to as the 'minimum subscription' under the Companies Act. If the number of applications for the shares received is less than 90% of the issue size, the allocation cannot be made, and the application money must be refunded to the applicants.

5. Application to Stock Exchange:

At least one stock exchange is approached for approval to trade in its shares or debentures. If such approval is not obtained within ten weeks of the subscription list's closing date, the allotment becomes worthless & any money received from applicants must be returned to them within eight days.

6. Allotment of Shares:

The money received for the application should be kept in a separate bank account and not used by the company until the shares are distributed.

If the number of shares allocated is fewer than the number applied for, or if no shares are assigned to the applicant, any excess application money must be returned to the applicants or applied to allotment money owed to them.

Successful allottees receive their allotment letters. Within 30 days of allotment, a 'return of allotment' signed by a director or secretary is filed with the Registrar of Companies.

Difference between Memorandum of Association and Article of Association		
Basis of Difference	Memorandum of Association (MoA)	Article of Association (AoA)
1. Objectives	The purposes for which the company's internal rules are developed are defined in the Memorandum of Association.	The company's management is governed by the articles of association. They describe how the company's goals will be met.
2. Position	This is the company's primary document and it is governed by the Companies Act.	This is a supporting document that exists along side the Memorandum of Association & the Companies Act.
3. Relationship	The company's interaction with outsiders is defined by the Memorandum of Association.	Articles clarify the members' and company's connection.
4. Validity	Acts that go beyond the Memorandum of Association are void and cannot be ratified by the members even if they vote unanimously.	Members can ratify acts that go beyond the Articles as long as they don't contradict the Memorandum.
5. Necessity	A Memorandum of Association is required for every business.	Articles of Association are not required to be filed by a public limited business. Table F of the Companies Act of 2013 may be adopted.

➤ **Choice of form of Business Organisation:-**

(a) Cost and ease in setting up the organisation: It is easy to start sole proprietorship with minimum cost and legal requirements whereas formation of a company is a complex task with lengthy legal procedure. But partnership has the advantage of less legal requirements with low cost.

(b) Liability: In sole proprietorship and partnership, the liability of owner or partners is unlimited but in cooperative societies and companies, members have limited liability.

(c) Continuity: In sole proprietorship and partnership, continuity is affected by death and insolvency of the owners but cooperative societies, companies and Hindu undivided family enjoy perpetual existence.

(d) Management ability: In sole proprietorship, it is difficult that the owner may have expertise in all functions but in other forms of business, division of work is possible which leads to better decision making.

(e) Capital consideration: In case of large scale of operation, company form is more suitable but in case of small scale of operation, partnership or sole proprietorship can be chosen.

(f) Degree of control: If the owner wants all the control in his hand the sole proprietorship may be preferred but if the owner is ready to share control, then he can adopt partnership or company form.

(g) Nature of business: For trading and services, sole proprietorship and partnership form can be

chosen. For manufacturing, a company form of organisation can be adopted.

Comparative Evaluation of Forms of Organisation

Basis	Sole proprietorship	Partnership	Joint Hindu family business	Cooperative Society	Company
1. Formation	Minimal legal formalities, easiest formation	Registration is optional, easy formation	Less legal formalities, exemption from registration, easy formation	Registration compulsory, greater legal formalities	Registration compulsory, lengthy and expensive formation process
2. Members	Only owner	Minimum-2 Maximum: 50	At least 2 persons for division of family property, no maximum limit	At least 10 adults, no maximum limit	Minimum Private -2 Public Company -7 Maximum Private Company -200 Public Company -unlimited
3. Capital contribution	Limited finance	Limited but more than that can be raised in case of sole proprietorship	Ancestral property	Limited	Large financial resources
4. Liability	Unlimited	limited and joint	Unlimited (Karta), Limited (Other members)	Limited	Limited
5. Control & management	Owner takes all decisions, quick decision making	Partners take decisions, consent of all partners is needed	Karta takes decisions	Elected representative, i.e., managing committee takes decisions	Separation between ownership and management
6. Continuity	Unstable, business and owner regarded as one	More stable but affected by status of partners	Stable business, continues even if 'karta' dies.	Stable because of separate legal status	Stable because of separate legal status

➤ **USEFUL LINKS:**

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short questions link

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long questions link



SELF-ASSESSMENT:

1. Distinguish between a Joint Hindu family business and partnership.
2. What is meant by 'partner by estoppel'? Explain.
3. How does a cooperative society exemplify democracy and secularism?
4. Why is it important to choose an appropriate form of organisation? Discuss the factors that determine the choice of form of organisation.
5. Discuss the characteristics, merits and limitations of cooperative form of organisation. Also describe briefly different types of cooperative societies.
6. State the important privileges available to a private company.

-----**END OF CHAPTER**-----